

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

<think> Let's start by calculating the total value of the house after Josh's improvements . The original house value was \$80,000 and he increased the value by 150% from the original value through repairs .

Calculate the increase amount :

$$\text{Increase Amount} = \text{Original House Value} \times \text{Increase Percentage} = 80,000 \times 1.5 = 120,000$$

Next , determine the new house value after the increase :

$$\text{New House Value} = \text{Original Value} + \text{Increase Amount} = 80,000 + 120,000 = 200,000$$

Josh's total investment is the sum of the original value and the costs involved (80,000 + 50,000):

$$\text{Total Investment} = \text{Original House Value} + \text{Repairs Cost} = 80,000 + 50,000 = 130,000$$

To find the profit , subtract Josh's total investment from the new house value :

$$\text{Profit} = \text{New House Value} - \text{Total Investment} = 200,000 - 130,000 = 70,000$$

So the profit Josh made is \$70,000. </think>

<answer>70000 </answer>